

FIRST SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

BUSINESS STUDIES

MODEL QUESTION PAPER – SET-1

Time: 3 hours

Maximum Marks: 75

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.**(9 x 1 = 9 Marks)**

1	State the definition of commerce.	M1.01	R
2	What do you call the economic activity involving the production and sale of goods and service undertaken with a motive of earning profit?	M1.06	R
3	List the kind of liability sole proprietors possess.	M2.05	R
4	Which fundamental document defines the powers and prescribes the limit within which the company is required to operate?	M2.04	R
5	Which certificate is necessary for a public company to start business?	M3.09	R
6	Mention the document termed the evidence of contract required to carry and is the official receipt issued by a shipping company for goods on board?	M3.07	R
7	Which authority issues the registration cum membership certificate to obtain facilities, benefits under the EXIM policy?	M4.01	R
8	What is the price paid by the insured in fulfillment of his part of the contract called?	M4.04	R
9	The person who is entitled to the benefits which the nominator would have been entitled to, in case of demise of nominator, is called a	M1.01	R

PART B

II. Answer any eight questions from the following. Each question carries 3 marks**(8 x 3 = 24 Marks)**

1	Summarize <i>any three</i> functions of commerce.	M1.03	R
2	Banking and advertising are considered as auxiliaries to trade. Justify.	M1.04	U

3	Identify <i>any three</i> characteristics of partnership.	M1.07	R
4	Indicate the major differences between occasional and professional promoters in a company.	M2.01	U
5	Articles of association form a document that specifies the regulations for a company's operations and defines the company's purpose. Justify by citing the relevant contents of AoA.	M2.03	A
6	Trade is referred to as an economic concept that is involved with buying and selling of goods. Point out any three differences between external and internal trade.	M3.04	A
7	SEZ tends to attract foreign direct investment to the country. Justify.	M3.09	A
8	What is the difference between a prospectus and a red herring prospectus?	M3.01	U
9	Outline the concept of insurance.	M4.01	R
10	Interpret the primary difference between a whole life and endowment life insurance policy	M4.05	U

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	Role of Indian Chamber of Commerce, Industry and Trade is very significant yet there exist differences. Justify by citing <i>any six</i> differences between commerce, industry and trade.	M1.05	U
	OR		
IV	Partnership offers the advantage of allowing the owners to draw on the resources and expertise of the co-partners. Compare the types of partners that exists in partnership firms.	M1.09	U
V	Setting up a partnership is more complex than setting up a sole proprietorship, but it's still relatively easy and inexpensive. Justify your opinion by discussing the advantages and disadvantages of both.	M1.11	A
	OR		
VI	Two friends plan to open a bakery in a mall and rent a small shop. After a while they cannot get along and the conflict reflects to the business: they fail to pay the rent. The mall (Opera, a joint stock company) claims the total payment from one of the friends. a. Can Opera claim the payment only from one of the friends? (2 Marks) b. What type of business organisation is this? Mention <i>any five</i> of its characteristics (5 Marks)	M1.10	A

VII	a. Define the concept of share. (3 Marks) b. Elaborate on any two types of shares offered by a company. (4 Marks)	M2.05	R
VIII	OR a. Define the concept of debenture. (3 Marks) b. Elaborate on <i>any two</i> types of debentures offered by a company. (4 Marks)	M2.06	R
IX	a. List the documents required for export trade. (2 Marks) b. Detail the procedure of export trade. (5 Marks)	M3.06	R
X	OR a. List the documents required for import trade. (2 Marks) b. Detail the procedure of import trade. (5 Marks)	M3.07	R
XI	a. State the concept of insurance. (3 Marks) b. Identify the meaning of following terms: • Double insurance (1 Mark) • Re-insurance (1 Mark) • Assignment (1 Mark) • Nomination (1 Mark)	M4.03	R
XII	OR General insurance covers the loss of economic value of assets or the financial loss suffered due to specific contingencies. There are different types. a) What is the need of general insurance policy? (1 Mark) b) Discuss <i>any three</i> types of general insurance policies. (6 Marks)	M4.06	A
XIII	Fire Insurance is a type of insurance in which the insurer is supposed to pay the insured a specific sum of money for the damage and losses caused by fire. Outline <i>any three</i> types of fire insurance policies.	M4.06	U
XIV	OR Marine insurance is insurance in which the damage to the ships, boats and the goods carried by them is covered. Outline the <i>any three</i> types of marine insurance policies.	M4.06	R

FIRST SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

BUSINESS STUDIES
MODEL QUESTION PAPER – SET-2

Time: 3 hours

Maximum Marks: 75

PART A**I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

1	Indicate the meaning of uncertainty in return in business.	M1.01	R
2	Mention how insurance and advertising act as auxiliaries to trade.	M1.04	R
3	Compare the concept of limited by shares and limited by guarantee.	M1.01	R
4	Identify when a company can commence its business.	M2.04	R
5	Mention any two differences between shares and debentures.	M2.09	R
6	Outline the difference between external and internal trade.	M3.04	R
7	Indicate the necessity of bill of lading in international trade.	M3.08	R
8	This is an amount when you stop paying premium and withdraw entire amount. Policy lapses as soon as you withdraw the money. Identify the insurance term used here.	M4.03	R
9	Under what circumstances does a person claim the motor vehicle insurance?	M4.06	R

PART B**II. Answer any eight questions from the following. Each question carries 3 marks****(8 x 3 = 24 Marks)**

1	Classify the activity which helps to remove the (i) hindrance of time (ii) hindrance of risk and (iii) hindrance of information.	M1.04	U
2	Cite any three differences between primary and secondary industry.	M1.02	R
3	State any three advantages of partnership over sole proprietorship.	M1.08	R
4	A promoter plays a pivotal role in promotion of a company. Characterize the importance of this person.	M2.01	U

5	The steps of formation of a company are given below. Write in correct order. - Commencement of business - Raising capital - Promotion - Incorporation.	M2.04	A
6	Mention the two important documents required in the formation of a company.	M3.02	R
7	Comment on any three services provided by the retailer to the wholesaler.	M3.09	R
8	Expand the following terms: - SEZ..... - EPZ..... - EXIM policy.....	M3.05	U
9	State whether there is Export trade, import trade or 'Entrepôt trade' in the following cases pertaining to India. - India purchased petroleum products from a foreign company. - USA sold Engineering products to India - India bought goods from Russia and sold to Sri Lanka. - UK bought jewelry/gold items/pearls from India. - Germany bought Telecom services from India. - Brazil bought goods from India.	M4.02	A
10	Which of the following is not a function of insurance? - Risk sharing - Assisting in capital formation - Lending of funds - None of the above. Summarize any two functions of insurance.	M4.01	U
11	Interpret the principle of indemnity in insurance.	M1.04	U

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	Every business activity includes an exchange or transfer of services and goods to earn value. Discuss the major characteristics of a business.	M1.01	A
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	OR		
IV	“Commerce comprises of trade and all the services that make trade possible.” Discuss.	M1.03	A
V	A joint stock company is an organisation which is owned jointly by all its shareholders. Summarize the major features of the company.	M1.01	R
	OR		
VI	In a partnership firm, you can find different types of partners. Identify the different kinds of partners.	M1.09	R
VII	Ram and his brothers wanted to start a new business of steel. To start the business what are the documents required to be submitted to the registrar of companies?	M2.03	U
	OR		
VIII	a. Indicate the importance of a prospectus for a company.(2 Marks) b. State the contents of the prospectus. (5 Marks)	M2.08	U
IX	Ram and his brothers wanted to start a new business of steel. To start the business what are the documents required to be submitted to the registrar of companies?	M3.07	A
	OR		
X	a. Indicate the importance of a prospectus for a company. (2 Marks) b. State the contents of the prospectus. (5 Marks)	M3.06	A
XI	a. What is the significance of a life insurance policy? (3 Marks) b. Trace the two types of life insurance policies. (4 Marks)	M 4.03	R
	OR		
XII	a. What is the significance of a life insurance policy? (1 Mark) b. Trace the significance of holding a i) Burglary insurance ii) Motor vehicle insurance iii) Health insurance (6 Marks)	M4.06	R
XIII	a. Ashish took a marine insurance policy to cover the goods exported by him. Under this policy, goods were insured against damage caused due to sea water. During the voyage, the ship developed a hole and sea water seeped in through the hole and damaged Ashish ‘s goods. Can Ashish claim compensation for his loss? What type of marine insurance policy has he taken? (3 Marks) b. Mention any two types of other marine insurance policies. (4 Marks) OR	M4.06	A

XIV	a. Kishore kept his goods in a warehouse and had taken a fire insurance policy of specific value of Rs 2 lakh for the same. On the 4th of Feb, 2020, his stock caught fire and his losses amounted to 3 lakhs. How much money can he claim from the insurance company? What type of fire insurance policy has he taken? (3 Marks) b. Mention any two types of other fire insurance policies. (4 Marks)	M4.06	A
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